WHOLESALE CREDIT PORTFOLIO

The wholesale credit environment remained favorable throughout 2013 driving an increase in commercial client activity. Discipline in underwriting across all areas of lending continues to remain a key point of focus, consistent with evolving market conditions and the Firm's risk management activities. The wholesale portfolio is actively managed, in part by conducting ongoing, in-depth reviews of credit quality and of industry, product and client concentrations. During the year, wholesale criticized assets and nonperforming assets decreased from higher levels experienced in 2012, including a reduction in nonaccrual loans by 39%.

As of December 31, 2013, wholesale exposure (primarily CIB, CB and AM) increased by $13.7 billion from December 31, 2012, primarily driven by increases of $11.4 billion in lending-related commitments and $8.4 billion in loans reflecting increased client activity primarily in CB and AM. These increases were partially offset by a $9.2 billion decrease in derivative receivables. Derivative receivables decreased predominantly due to reductions in interest rate derivatives driven by an increase in interest rates and reductions in commodity derivatives due to market movements. The decreases were partially offset by an increase in equity derivatives driven by a rise in equity markets.

Wholesale credit portfolio

December 31,	Credit exposure		Nonperforming[d]	
(in millions)	**2013**	2012	**2013**	2012
Loans retained	**$308,263**	$306,222	**$ 821**	$ 1,434
Loans held-for-sale	**11,290**	4,406	**26**	18
Loans at fair value[a]	**2,011**	2,555	**197**	265
Loans – reported	**321,564**	313,183	**1,044**	1,717
Derivative receivables	**65,759**	74,983	**415**	239
Receivables from customers and other[b]	**26,744**	23,648	**–**	–
Total wholesale credit-related assets	**414,067**	411,814	**1,459**	1,956
Lending-related commitments	**446,232**	434,814	**206**	355
Total wholesale credit exposure	**$860,299**	$846,628	**$ 1,665**	$ 2,311
Credit Portfolio Management derivatives notional, net[c]	**$ (27,996)**	$ (27,447)	**$ (5)**	$ (25)
Liquid securities and other cash collateral held against derivatives	**(14,435)**	(15,201)	**NA**	NA

(a) During 2013, certain loans that resulted from restructurings that were previously classified as performing were reclassified as nonperforming loans. Prior periods were revised to conform with the current presentation.

(b) Receivables from customers and other primarily includes margin loans to prime and retail brokerage customers; these are classified in accrued interest and accounts receivable on the Consolidated Balance Sheets.

(c) Represents the net notional amount of protection purchased and sold through credit derivatives used to manage both performing and nonperforming wholesale credit exposures; these derivatives do not qualify for hedge accounting under U.S. GAAP. Excludes the synthetic credit portfolio. For additional information, see Credit derivatives on pages 137–138, and Note 6 on pages 220–233 of this Annual Report.

(d) Excludes assets acquired in loan satisfactions.